

## Mark schemes

1.

### Areas for discussion include:

- definitions/explanations: international trade
- explaining the alternatives to international trade such as protectionism or closed economies
- different stakeholder groups for analysis such as firms, households, the government or in terms of the macroeconomic objectives or other objectives such as the environment
- explaining the benefits of trade such as:
  - benefits from comparative advantage
  - economies of scale
  - increased competition
  - lower prices
  - access to more diverse markets
  - trade creation
  - export-led growth and employment
  - encouraging FDI
  - increased product and process innovation
  - welfare gains
  - improving international relations/reducing conflict
- explaining the potential drawbacks of trade such as:
  - loss of domestic industry
  - structural unemployment
  - potential loss of infant/sunset industry arguments
  - leakages to the circular flow if a net importer
  - environmental damage due to transportation
  - trade deals may cause political arguments
  - potential trade of demerit goods/illegal goods/weapons
- using real-life examples of where international trade has helped or damaged industries in the UK or the rest of the world
- whether protectionist policies or having a closed economy would have benefited different nations rather than trade
- the limitations of trade such as assumptions about the model of comparative advantage
- the different industries that LEDCs and MEDCs end up specialising in and the effects of this in terms of development
- the different experiences of LEDCs and MEDCs regarding the terms of trade or problems of primary product dependency
- considering living standards in LEDCs may be damaged in terms of worker exploitation or the environment
- considering the term 'always'
- the inability of some nations to be able to fully exploit their comparative advantage
- considering both the positive and negative impact of MNCs on different nations.

The use of relevant diagrams to support the analysis should be taken into account when assessing the quality of the candidate's response to the question.

| Level of response | Response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | Max 25 marks |
|-------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------|
| 5                 | <b>Sound, focused analysis and well-supported evaluation that:</b> <ul style="list-style-type: none"> <li>is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors</li> <li>includes good application of relevant economic principles to the given context and, where appropriate, good use of data to support the response</li> <li>includes well-focused analysis with clear, logical chains of reasoning</li> <li>includes supported evaluation throughout the response and in a final conclusion.</li> </ul>                                                                                                                                                                                       | 21–25 marks  |
| 4                 | <b>Sound, focused analysis and some supported evaluation that:</b> <ul style="list-style-type: none"> <li>is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors</li> <li>includes some good application of relevant economic principles to the given context and, where appropriate, some good use of data to support the response</li> <li>includes some well-focused analysis with clear, logical chains of reasoning</li> <li>includes some reasonable, supported evaluation.</li> </ul>                                                                                                                                                                                                         | 16–20 marks  |
| 3                 | <b>Some reasonable analysis but generally unsupported evaluation that:</b> <ul style="list-style-type: none"> <li>focuses on issues that are relevant to the question, showing satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present</li> <li>includes reasonable application of relevant economic principles to the given context and, where appropriate, some use of data to support the response</li> <li>includes some reasonable analysis but which might not be adequately developed or becomes confused in places</li> <li>includes fairly superficial evaluation; there is likely to be some attempt to make relevant judgments but these are not well-supported by arguments and/or data.</li> </ul> | 11–15 marks  |
| 2                 | <b>A fairly weak response with some understanding that:</b> <ul style="list-style-type: none"> <li>includes some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely</li> <li>includes some limited application of relevant economic principles to the given context and/or data to the question</li> <li>includes some limited analysis but it may lack focus and/or become confused</li> <li>includes some evaluation which is weak and unsupported.</li> </ul>                                                                                                                                                                                                                                                        | 6–10 marks   |
| 1                 | <b>A very weak response that:</b> <ul style="list-style-type: none"> <li>includes little relevant knowledge and understanding of economic terminology, concepts and principles</li> <li>includes application to the given context which is, at best, very weak</li> <li>includes attempted analysis which is weak and unsupported.</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                        | 1–5 marks    |

[25]

2.

A

[1]

3.

| Response                                                                                                                                                                                                                                                                                                                                               | Max 4 marks    |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------|
| <ul style="list-style-type: none"> <li>includes evidence that shows that the UK's trade performance has been disappointing given the fall in the value of the pound</li> <li>clearly explains how this data is evidence that the UK's trade performance has been disappointing given the fall in the value of the pound.</li> </ul>                    | <b>4 marks</b> |
| <ul style="list-style-type: none"> <li>includes evidence that shows that the UK's trade performance has been disappointing given the fall in the value of the pound</li> <li>unclear explanation of how this data is evidence that the UK's trade performance has been disappointing given the fall in the value of the pound.</li> </ul>              | <b>3 marks</b> |
| <ul style="list-style-type: none"> <li>includes some limited evidence that shows that the UK's trade performance has been disappointing given the fall in the value of the pound</li> <li>limited explanation of how this data is evidence that the UK's trade performance has been disappointing given the fall in the value of the pound.</li> </ul> | <b>2 marks</b> |
| <ul style="list-style-type: none"> <li>includes evidence that does not clearly show that the UK's trade performance has been disappointing given the fall in the value of the pound</li> <li>no explanation of how this data is evidence that the UK's trade performance has been disappointing given the fall in the value of the pound.</li> </ul>   | <b>1 mark</b>  |

**Relevant issues include:**

- explanation of relevant terms/phrases such as 'fall in the value of the pound', 'disappointing trade performance'
- explaining that a fall in the exchange rate should make the UK more internationally competitive, increasing exports, decreasing imports and reducing the trade deficit
- the balance of total trade is in deficit throughout the whole of the period from November 2015 to November 2016, indicating the value of exports has not overtaken the value of imports
- the total trade deficit ranges from £0.3bn in December 2015 to £5.3bn in September 2016, indicating either a falling value of exports or rising value of imports
- the total trade deficit ends larger than it started. In November 2015, the deficit was £2.5bn whereas in November 2016 it was £4.8bn
- the goods balance is in deficit throughout the whole period from November 2015 to November 2016 indicating the value of exports of goods has not overtaken the value of imports of goods
- the goods deficits range from £8bn in December 2015 to £13.8bn in September 2016
- the deficit in goods ends larger than it started. In November 2015, the deficit in goods was £9.5bn whereas in November 2016 it was £12.1bn
- the balance in services did not improve over the whole period. It started at £8bn in November 2015 and ended at £8bn in November 2016.

Note: Accept figures that are within a range of + or – £0.5bn.

[4]

4.

C

[1]

**5.****Areas for discussion include:**

- definitions/explanations: macroeconomic performance, depreciation
- explaining the causes of a depreciation in the currency
- explaining the impact of depreciation on the price of imports or exports
- explaining the impact of a depreciation of the pound on economic growth
  - such as the effects on AD
  - such as the potential rise in FDI
- explaining the impact of a depreciation of the pound on unemployment
  - such as a rise in exports and the subsequent increase in the derived demand for labour
- explaining the impact of a depreciation of the pound on inflation
  - such as the impact on demand-pull inflation from rising exports
  - such as the increased cost of raw materials or other imports
- explaining the impact of a depreciation of the pound on the current account of the balance of payments
  - such as increased international competitiveness and a rise in exports
  - such as the relative price of foreign goods becoming more expensive and a fall in imports
- considering the extent of the fall in currency and its subsequent impacts
- considering whether the currency self-corrects to some extent
- considering short-run and long-run implications of depreciation, e.g. on economic growth
- considering the Marshall-Lerner condition, elasticities and the 'J-curve' effect
- considering whether it has any impact in the long run, e.g. will the inflationary impact of the depreciation erode its effects?
- considering the short-run and long-run impact of a fall in the exchange rate on living standards.

The use of relevant diagrams to support the analysis should be taken into account when assessing the quality of the student's response to the question.

| Level of response | Response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | Max 25 marks  |
|-------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------|
| 5                 | <b>Sound, focused analysis and well-supported evaluation that:</b> <ul style="list-style-type: none"> <li>is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors</li> <li>includes good application of relevant economic principles to the given context and, where appropriate, good use of data to support the response</li> <li>includes well-focused analysis with clear, logical chains of reasoning</li> <li>includes supported evaluation throughout the response and in a final conclusion.</li> </ul>                                                                                                                                                                                       | 21 – 25 marks |
| 4                 | <b>Sound, focused analysis and some supported evaluation that:</b> <ul style="list-style-type: none"> <li>is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors</li> <li>includes some good application of relevant economic principles to the given context and, where appropriate, some good use of data to support the response</li> <li>includes some well-focused analysis with clear, logical chains of reasoning</li> <li>includes some reasonable, supported evaluation.</li> </ul>                                                                                                                                                                                                         | 16 – 20 marks |
| 3                 | <b>Some reasonable analysis but generally unsupported evaluation that:</b> <ul style="list-style-type: none"> <li>focuses on issues that are relevant to the question, showing satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present</li> <li>includes reasonable application of relevant economic principles to the given context and, where appropriate, some use of data to support the response</li> <li>includes some reasonable analysis but which might not be adequately developed or becomes confused in places</li> <li>includes fairly superficial evaluation; there is likely to be some attempt to make relevant judgements but these aren't well-supported by arguments and/or data.</li> </ul> | 11 – 15 marks |
| 2                 | <b>A fairly weak response with some understanding that:</b> <ul style="list-style-type: none"> <li>includes some limited knowledge and understanding of economic terminology, concepts and principle but some errors are likely</li> <li>includes some limited application of relevant economic principles to the given context and/or data to the question</li> <li>includes some limited analysis but it may lack focus and/or become confused</li> <li>includes some evaluation which is weak and unsupported.</li> </ul>                                                                                                                                                                                                                                                         | 6 – 10 marks  |
| 1                 | <b>A very weak response that:</b> <ul style="list-style-type: none"> <li>includes little relevant knowledge and understanding of economic terminology, concepts and principles</li> <li>includes application to the given context which is, at best, very weak</li> <li>includes attempted analysis which is weak and unsupported.</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                        | 1 – 5 marks   |

[25]

6.

C

[1]

**7.****Relevant issues include:**

- definitions/explanations: exchange rate, floating exchange rate, depreciation, the role of the FOREX market
- giving examples of depreciation (such as a numerical example)
- explaining that the value of a currency is determined by the demand for and supply of the currency
- explaining why a fall in demand for or increase in supply of currency will lead to a fall in the equilibrium exchange rate
- identifying and explaining reasons why the demand for currency may fall such as:
  - a fall in exports
  - a fall in inward FDI
  - a fall in tourism
  - a fall in the interest rate causing a reduction in hot money flows into the country
  - speculation
- identifying and explaining reasons why the supply of a currency may increase such as:
  - a rise in imports
  - a rise in FDI going abroad
  - a rise in tourism to another country
  - a fall in interest rates leading to a rise in hot money flows out of a country
  - speculation
- explaining government intervention which may occur if the floating exchange rate is not a “free” float.

The use of relevant diagrams, such as a diagram showing the supply of and demand for currencies, to support the analysis should be taken into account when assessing the quality of the student’s response to the question.

| Level of response | Response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | Max 15 marks  |
|-------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------|
| 3                 | <b>A good response provides an answer that:</b> <ul style="list-style-type: none"> <li>is well organised and develops a selection of the key issues that are relevant to the question</li> <li>shows sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors</li> <li>includes good application of relevant economic principles to the given context and, where appropriate, good use of data to support the response</li> <li>includes well-focused analysis with clear, logical chains of reasoning.</li> </ul>                        | 11 – 15 marks |
| 2                 | <b>A reasonable response provides an answer that:</b> <ul style="list-style-type: none"> <li>focuses on issues that are relevant to the question</li> <li>shows satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present</li> <li>includes reasonable application of relevant economic principles to the given context and, where appropriate, some use of data to support the response</li> <li>includes some reasonable analysis but which might not be adequately developed or becomes confused in places.</li> </ul> | 6 – 10 marks  |
| 1                 | <b>A weak response provides an answer that:</b> <ul style="list-style-type: none"> <li>has identified one or more relevant issues</li> <li>has some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely</li> <li>has very limited application of relevant economic principles to the given context and/or data to the question</li> <li>might have some limited analysis but it may lack focus and/or become confused.</li> </ul>                                                                                                | 1 – 5 marks   |

[15]

8.

B

[1]



| Level of response | Response:                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | Max 15 marks         |
|-------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------|
| <b>Level 3</b>    | <b>A good response provides an answer that:</b> <ul style="list-style-type: none"> <li>• is well organised and develops a selection of the key issues that are relevant to the question</li> <li>• shows sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors</li> <li>• includes good application of relevant economic principles and, where appropriate, good use of data to support the response</li> <li>• includes well-focused analysis with clear, logical chains of reasoning.</li> </ul>                        | <b>11 – 15 marks</b> |
| <b>Level 2</b>    | <b>A reasonable response provides an answer that:</b> <ul style="list-style-type: none"> <li>• focuses on issues that are relevant to the question</li> <li>• shows satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present</li> <li>• includes reasonable application of relevant economic principles and, where appropriate, some use of data to support the response</li> <li>• includes some reasonable analysis but which might not be adequately developed or becomes confused in places.</li> </ul> | <b>6 – 10 marks</b>  |
| <b>Level 1</b>    | <b>A weak response provides an answer that:</b> <ul style="list-style-type: none"> <li>• has one or more relevant issues identified</li> <li>• has some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely</li> <li>• has very limited application of relevant economic principles and/or data to the question</li> <li>• might have some limited analysis but it may lack focus and/or become confused.</li> </ul>                                                                                                | <b>1 – 5 marks</b>   |

**Remember:** AO4, ie evaluation, is not being assessed through this question.



**Relevant issues include:**

- why a slowdown in the world economy is likely to reduce UK exports
- the impact of a fall in exports (an injection into the circular flow of income) on UK national income
- possible multiplier and accelerator effects
- the impact on employment and unemployment in the UK
- the impact on the incomes of people directly affected by the fall in exports
- consequences for different regions of the UK
- the impact on world commodity prices and the consequences for inflation in the UK
- consequences may depend on which regions of the world economy are most affected by the slowdown in economic activity
- some may consider broader issues that may affect how the slowdown affects UK living standards, e.g.
  - the growth of protectionism
  - the UK's departure from the EU
  - changes in the sterling exchange rate
  - other changes within the UK economy
- linking the issues above to living standards
- use of data in **Extract C**.

The use of relevant diagrams to support analysis should be taken into account when assessing the quality of a candidate's response to the question.

[15]

**10.****Areas for discussion include:**

- definitions/explanations: currency union, the eurozone, exchange rate systems
- explaining the benefits of joining a currency union such as:
  - stability of currency allowing for business planning
  - trade creation due to reduced transaction costs
  - possible benefits from increased specialisation and gains from comparative advantage
  - price transparency between fellow members
  - possible reduced inflation due to reduced import costs
  - attracting inward investment
  - protection for smaller countries from financial crisis or speculation
- explaining the costs of joining a currency union, such as:
  - changeover costs or menu costs to firms
  - the inability to have control over the instruments of monetary policy
  - 'one size fits all' interest rates
  - possibly not an optimal currency area due to cultural/language barriers
  - possibly limits to fiscal policy such as the EU growth and stability pact
  - no scope for a competitive devaluation
- considering political factors
- considering short-run costs and benefits against long-run costs and benefits
- considering from different countries' perspectives, such as the potential stability of currency union outweighing the negative effects
- considering the actual experiences of some European countries (such as Greece)
- considering the difficulties of exiting a currency union, once one is established.

The use of relevant diagrams to support the analysis should be taken into account when assessing the quality of the candidate's response to the question.

| Level of response | Response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | Max 25 marks  |
|-------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------|
| 5                 | <b>Sound, focused analysis and well-supported evaluation that:</b> <ul style="list-style-type: none"> <li>is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors</li> <li>includes good application of relevant economic principles to the given context and, where appropriate, good use of data to support the response</li> <li>includes well-focused analysis with clear, logical chains of reasoning</li> <li>includes supported evaluation throughout the response and in a final conclusion.</li> </ul>                                                                                                                                                                                       | 21 – 25 marks |
| 4                 | <b>Sound, focused analysis and some supported evaluation that:</b> <ul style="list-style-type: none"> <li>is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors</li> <li>includes some good application of relevant economic principles to the given context and, where appropriate, some good use of data to support the response</li> <li>includes some well-focused analysis with clear, logical chains of reasoning</li> <li>includes some reasonable, supported evaluation.</li> </ul>                                                                                                                                                                                                         | 16 – 20 marks |
| 3                 | <b>Some reasonable analysis but generally unsupported evaluation that:</b> <ul style="list-style-type: none"> <li>focuses on issues that are relevant to the question, showing satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present</li> <li>includes reasonable application of relevant economic principles to the given context and, where appropriate, some use of data to support the response</li> <li>includes some reasonable analysis but which might not be adequately developed or becomes confused in places</li> <li>includes fairly superficial evaluation; there is likely to be some attempt to make relevant judgements but these aren't well-supported by arguments and/or data.</li> </ul> | 11 – 15 marks |
| 2                 | <b>A fairly weak response with some understanding that:</b> <ul style="list-style-type: none"> <li>includes some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely</li> <li>includes some limited application of relevant economic principles to the given context and/or data to the question</li> <li>includes some limited analysis but it may lack focus and/or become confused</li> <li>includes some evaluation which is weak and unsupported.</li> </ul>                                                                                                                                                                                                                                                        | 6 – 10 marks  |
| 1                 | <b>A very weak response that:</b> <ul style="list-style-type: none"> <li>includes little relevant knowledge and understanding of economic terminology, concepts and principles</li> <li>includes application to the given context which is, at best, very weak</li> <li>includes attempted analysis which is weak and unsupported.</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                        | 1 – 5 marks   |

**11.****Areas for discussion include:**

- definitions/explanations: budget deficit, current account deficit, balance of payments, macroeconomic performance
- arguments why a budget deficit may need to be reduced:
  - it adds to national debt
  - it could cause crowding out
  - possible loss of credit status leading to increased costs of government borrowing
  - future generations facing rising tax rates
  - possibility of future cuts in spending on merit/public goods
  - it could be inflationary
- arguments why a current account deficit may need to be reduced:
  - it could indicate lack of productivity
  - it could cause depreciation of currency
  - possible risk of capital flight
  - it could cause problems for a country's reserves
  - a surplus on the financial section of the balance of payments increasing international indebtedness
  - deflationary pressure
  - it could indicate structural weaknesses
  - effects on jobs such as structural unemployment
- considering that both issues are not mutually exclusive, an improved supply-side performance could help both
- considering whether the budget deficit is cyclical or structural
- considering the components of the current account of the balance of payments
- considering the UK's ability to attract FDI will help finance the capital account and may off-set any problems on the trade deficit. However, this may also benefit the UK's budget deficit in terms of job creation and generating tax revenue
- deficits on both may be necessary and advantageous, they may both benefit living standards in terms of more goods being consumed or boosting AD
- considering that trade-offs may take place with the other macroeconomic goals

The use of relevant diagrams to support the analysis should be taken into account when assessing the quality of the student's response to the question.

| Level of response | Response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | Max 25 marks  |
|-------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------|
| 5                 | <b>Sound, focused analysis and well-supported evaluation that:</b> <ul style="list-style-type: none"> <li>is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors</li> <li>includes good application of relevant economic principles to the given context and, where appropriate, good use of data to support the response</li> <li>includes well-focused analysis with clear, logical chains of reasoning</li> <li>includes supported evaluation throughout the response and in a final conclusion.</li> </ul>                                                                                                                                                                                       | 21 – 25 marks |
| 4                 | <b>Sound, focused analysis and some supported evaluation that:</b> <ul style="list-style-type: none"> <li>is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors</li> <li>includes some good application of relevant economic principles to the given context and, where appropriate, some good use of data to support the response</li> <li>includes some well-focused analysis with clear, logical chains of reasoning</li> <li>includes some reasonable, supported evaluation.</li> </ul>                                                                                                                                                                                                         | 16 – 20 marks |
| 3                 | <b>Some reasonable analysis but generally unsupported evaluation that:</b> <ul style="list-style-type: none"> <li>focuses on issues that are relevant to the question, showing satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present</li> <li>includes reasonable application of relevant economic principles to the given context and, where appropriate, some use of data to support the response</li> <li>includes some reasonable analysis but which might not be adequately developed or becomes confused in places</li> <li>includes fairly superficial evaluation; there is likely to be some attempt to make relevant judgements but these aren't well-supported by arguments and/or data.</li> </ul> | 11 – 15 marks |
| 2                 | <b>A fairly weak response with some understanding that:</b> <ul style="list-style-type: none"> <li>includes some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely</li> <li>includes some limited application of relevant economic principles to the given context and/or data to the question</li> <li>includes some limited analysis but it may lack focus and/or become confused</li> <li>includes some evaluation which is weak and unsupported.</li> </ul>                                                                                                                                                                                                                                                        | 6 – 10 marks  |
| 1                 | <b>A very weak response that:</b> <ul style="list-style-type: none"> <li>includes little relevant knowledge and understanding of economic terminology, concepts and principles</li> <li>includes application to the given context which is, at best, very weak</li> <li>includes attempted analysis which is weak and unsupported.</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                        | 1 – 5 marks   |

**12.****Areas for discussion include:**

- definitions/explanations: protectionism, economic development, emerging economies
- explaining different forms of protectionism such as tariffs, quotas, non-tariff barriers or export subsidies
- explaining the benefits of protectionist policies such as:
  - infant industry arguments
  - sunset industry arguments
  - helping to diversify domestic industry
  - raising of government revenue
  - safeguarding jobs
  - insulating against economic shocks
  - prevent dumping
  - correcting a current account deficit
- explaining the costs or problems of protectionism such as:
  - retaliation
  - higher prices on the cost of living
  - potential job losses in other industries not protected
  - encouraging inefficient business to stay in the market
  - firms don't benefit from economies of scale
  - the benefits of comparative advantage are not achieved
  - reduced competition and other efficiency arguments
- linking arguments to economic development in terms of growth or wider issues such as social development of a nation
- considering short-term gains of protectionism against long-run development
- considering the experiences of nations such as Brazil or China in terms of development over the past few decades
- considering other ways to achieve development other than protectionism such as supply-side policies, aid, or free-trade
- considering the nature of the goods traded by different nations.

The use of relevant diagrams to support the analysis should be taken into account when assessing the quality of the student's response to the question.

| Level of response | Response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | Max 25 marks  |
|-------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------|
| 5                 | <b>Sound, focused analysis and well-supported evaluation that:</b> <ul style="list-style-type: none"> <li>is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors</li> <li>includes good application of relevant economic principles to the given context and, where appropriate, good use of data to support the response</li> <li>includes well-focused analysis with clear, logical chains of reasoning</li> <li>includes supported evaluation throughout the response and in a final conclusion.</li> </ul>                                                                                                                                                                                       | 21 – 25 marks |
| 4                 | <b>Sound, focused analysis and some supported evaluation that:</b> <ul style="list-style-type: none"> <li>is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors</li> <li>includes some good application of relevant economic principles to the given context and, where appropriate, some good use of data to support the response</li> <li>includes some well-focused analysis with clear, logical chains of reasoning</li> <li>includes some reasonable, supported evaluation.</li> </ul>                                                                                                                                                                                                         | 16 – 20 marks |
| 3                 | <b>Some reasonable analysis but generally unsupported evaluation that:</b> <ul style="list-style-type: none"> <li>focuses on issues that are relevant to the question, showing satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present</li> <li>includes reasonable application of relevant economic principles to the given context and, where appropriate, some use of data to support the response</li> <li>includes some reasonable analysis but which might not be adequately developed or becomes confused in places</li> <li>includes fairly superficial evaluation; there is likely to be some attempt to make relevant judgements but these aren't well-supported by arguments and/or data.</li> </ul> | 11 – 15 marks |
| 2                 | <b>A fairly weak response with some understanding that:</b> <ul style="list-style-type: none"> <li>includes some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely</li> <li>includes some limited application of relevant economic principles to the given context and/or data to the question</li> <li>includes some limited analysis but it may lack focus and/or become confused</li> <li>includes some evaluation which is weak and unsupported.</li> </ul>                                                                                                                                                                                                                                                        | 6 – 10 marks  |
| 1                 | <b>A very weak response that:</b> <ul style="list-style-type: none"> <li>includes little relevant knowledge and understanding of economic terminology, concepts and principles</li> <li>includes application to the given context which is, at best, very weak</li> <li>includes attempted analysis which is weak and unsupported.</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                        | 1 – 5 marks   |



**13.****Areas for discussion include:**

- definitions/explanations: savings, macroeconomic performance
- explaining causes of a fall in the savings
- explaining the significance of the savings ratio
- explaining how a fall in savings is likely to affect economic growth such as:
  - in the short run in terms of consumption being a component of aggregate demand (AD)
  - in the long run creating more investment if AD is rising
  - possibly limiting bank lending if there are insufficient funds
- explaining how a fall in savings is likely to affect unemployment such as:
  - cyclical unemployment is likely to fall if consumption rises
- explaining how a fall in savings is likely to affect inflation such as:
  - increasing demand-pull inflation if consumption rises close to productive capacity
  - a rise in labour costs and cost-push inflation if the economy is close to productive capacity
- explaining how a fall in savings is likely to affect net trade such as:
  - a rise in imports
  - potential domestic inflationary pressure making the UK less competitive and reducing exports
- considering the possibility that higher savings would have led to increased long-term investment
- considering the position of the economy in the economic cycle and how this impacts on the wider economy
- considering the volatility of savings and whether the changes are temporary or long lasting
- considering the possible stabilising (or destabilising) effects that savings can have
- considering the paradox of thrift.

The use of relevant diagrams to support the analysis should be taken into account when assessing the quality of the student's response to the question.

| Level of response | Response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | Max 25 marks  |
|-------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------|
| 5                 | <b>Sound, focused analysis and well-supported evaluation that:</b> <ul style="list-style-type: none"> <li>is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors</li> <li>includes good application of relevant economic principles to the given context and, where appropriate, good use of data to support the response</li> <li>includes well-focused analysis with clear, logical chains of reasoning</li> <li>includes supported evaluation throughout the response and in a final conclusion.</li> </ul>                                                                                                                                                                                       | 21 – 25 marks |
| 4                 | <b>Sound, focused analysis and some supported evaluation that:</b> <ul style="list-style-type: none"> <li>is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors</li> <li>includes some good application of relevant economic principles to the given context and, where appropriate, some good use of data to support the response</li> <li>includes some well-focused analysis with clear, logical chains of reasoning</li> <li>includes some reasonable, supported evaluation.</li> </ul>                                                                                                                                                                                                         | 16 – 20 marks |
| 3                 | <b>Some reasonable analysis but generally unsupported evaluation that:</b> <ul style="list-style-type: none"> <li>focuses on issues that are relevant to the question, showing satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present</li> <li>includes reasonable application of relevant economic principles to the given context and, where appropriate, some use of data to support the response</li> <li>includes some reasonable analysis but which might not be adequately developed or becomes confused in places</li> <li>includes fairly superficial evaluation; there is likely to be some attempt to make relevant judgements but these aren't well-supported by arguments and/or data.</li> </ul> | 11 – 15 marks |
| 2                 | <b>A fairly weak response with some understanding that:</b> <ul style="list-style-type: none"> <li>includes some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely</li> <li>includes some limited application of relevant economic principles to the given context and/or data to the question</li> <li>includes some limited analysis but it may lack focus and/or become confused</li> <li>includes some evaluation which is weak and unsupported.</li> </ul>                                                                                                                                                                                                                                                        | 6 – 10 marks  |
| 1                 | <b>A very weak response that:</b> <ul style="list-style-type: none"> <li>includes little relevant knowledge and understanding of economic terminology, concepts and principles</li> <li>includes application to the given context which is, at best, very weak</li> <li>includes attempted analysis which is weak and unsupported.</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                        | 1 – 5 marks   |

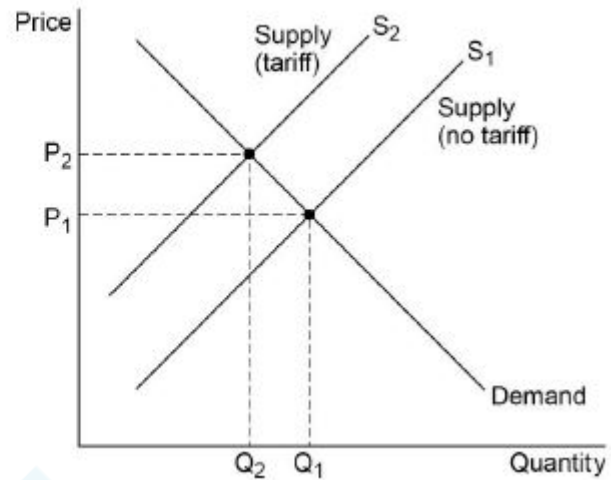
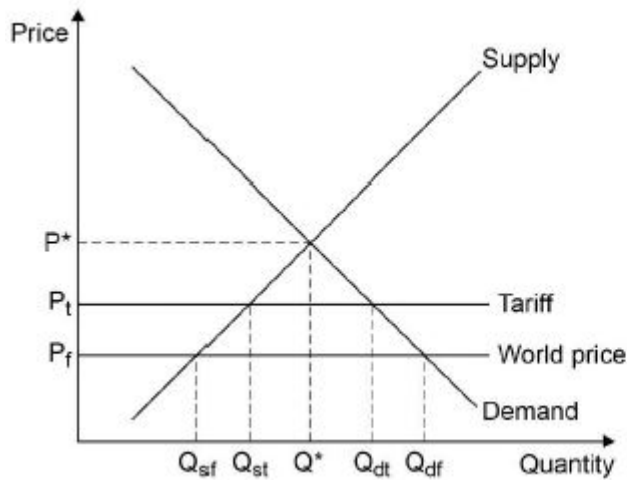
| Level of response | Response:                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | Max 9 marks |
|-------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------|
| 3                 | <ul style="list-style-type: none"> <li>is well organised and develops one or more of the key issues that are relevant to the question</li> <li>shows sound knowledge and understanding of relevant economic terminology, concepts and principles</li> <li>includes good application of relevant economic principles and/or good use of data to support the response</li> <li>includes well-focused analysis with a clear, logical chain of reasoning</li> <li>includes a relevant diagram that will, at the top of this level, be accurate and used appropriately.</li> </ul> | 7 – 9 marks |
| 2                 | <ul style="list-style-type: none"> <li>includes one or more issues that are relevant to the question</li> <li>shows reasonable knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present</li> <li>includes reasonable application of relevant economic principles and/or data to the question</li> <li>includes some reasonable analysis but it might not be adequately developed and may be confused in places</li> <li>may include a relevant diagram.</li> </ul>                                                     | 4 – 6 marks |
| 1                 | <ul style="list-style-type: none"> <li>is very brief and/or lacks coherence</li> <li>shows some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely</li> <li>demonstrates very limited ability to apply relevant economic principles and/or data to the question</li> <li>may include some very limited analysis but the analysis lacks focus and/or becomes confused</li> <li>may include a relevant diagram but the diagram is not used and/or is inaccurate in some respects.</li> </ul>                       | 1 – 3 marks |

A tariff diagram is expected which shows the imposition of a tariff. In its simplest form, a candidate may use simple supply and demand analysis with a supply curve shifting to the left.

#### Relevant issues include:

- definitions/explanations: tariff, protectionism, imports, value of imports, volume of imports
- explaining why a country may choose to place a tariff on imports such as for:
  - correcting a current account deficit
  - retaliatory reasons
  - political reasons
- linking the imposition of a tariff to making imports less competitive
- linking the tariff to individuals switching to domestic producers instead
- linking the tariff to a falling volume of imports
- relating the volume of imports to the price elasticities of supply and demand of the good the tariff is placed upon
- explaining that the change in the value of imports is determined by what happens to the price and the quantity
- use of the diagram to support the analysis.

Expected diagrams are:



[9]

15.

| Response                                                                                                                                                                                                                                                                                    | Max 4 marks |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------|
| <ul style="list-style-type: none"> <li>includes evidence that show why the US may have decided to implement protectionist policies</li> <li>clearly explains how this data is evidence as to why the US have decided to implement protectionist policies.</li> </ul>                        | 4 marks     |
| <ul style="list-style-type: none"> <li>includes evidence that show why the US may have decided to implement protectionist policies</li> <li>explanation of how this data is evidence as to why the US have decided to implement protectionist policies.</li> </ul>                          | 3 marks     |
| <ul style="list-style-type: none"> <li>includes some limited evidence that show why the US may have decided to implement protectionist policies</li> <li>limited explanation of how this data is evidence as to why the US have decided to implement protectionist policies.</li> </ul>     | 2 marks     |
| <ul style="list-style-type: none"> <li>includes evidence that does not clearly show why the US may have decided to implement protectionist policies</li> <li>no explanation of how this data is evidence as to show why the US have decided to implement protectionist policies.</li> </ul> | 1 mark      |

**Relevant issues include:**

- the meaning of 'protectionist policies'
- the value of US imports from China have risen over the period from \$440.4bn in 2013, to \$505.5bn in 2017 (an increase of 14.8%) or \$539.5bn in 2018 (an increase of 22.5%)
- the value of US exports to China have risen, but at a slower rate. Exports have risen from \$121.7bn in 2013, to \$129.9bn in 2017 (an increase of 6.7%) or have actually fallen in 2018 to \$120.4bn in 2018 (a fall of 1.1%)
- the trade deficit increased over the whole period from \$318.7bn in 2013 to \$375.6bn in 2017 or \$419.2bn in 2018
- US trade with China was always in deficit throughout the period despite a reduction from \$367.3bn in 2015 to \$347bn in 2016
- the ratio of US imports to exports widened over the period from 3.62:1 in 2013 to 3.89:1 in 2017 and 4.48:1 in 2018
- explaining the large widening deficit to the decision to implement protectionist policies
- linking each of these issues to the possible effects of protectionist policies on the value of imports and exports.

**Note:** Candidates may combine discussion of figure 1 and figure 2 in their answers or discuss each figure separately.

[4]

16.

D

[1]

17.

**Areas for discussion include:**

- definitions/explanations: cost of living, standard of living, rise in the value of the pound, exchange rate
- explaining the possible causes of a rise in the value of the pound
- explaining the cost of living in terms of the change in CPI/RPI
- explaining how a sustained rise in the value of the pound may affect the cost of living:
  - by reducing import costs (such as raw materials)
  - by leading to improved purchasing power (such as cheaper foreign holidays)
- explaining how a sustained rise in the value of the pound may affect the standard of living:
  - due to the impact on incomes and employment
  - due to the impact on consumption possibilities
  - due to the impact of the consumption of merit/demerit goods
  - due to the impact on education/health due to changing patterns of consumption
  - due to domestic job losses leading to lower disposable income
- considering the impact depends upon different stakeholder groups (for example those on fixed incomes may be more impacted)
- considering that the appreciation of the currency may be self-correcting eventually
- considering the possible subjective nature of living standards
- considering that due to the volatile nature of exchange rates, firms may not pass on benefits depending on the elasticities of demand
- considering the overall benefits of exchange rate changes may be offset by changes in other macroeconomic objectives.

The use of relevant diagrams to support the analysis should be taken into account when assessing the quality of the student's response to the question.

| Level of response | Response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | Max 25 marks  |
|-------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------|
| 5                 | <b>Sound, focused analysis and well-supported evaluation that:</b> <ul style="list-style-type: none"> <li>is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors</li> <li>includes good application of relevant economic principles to the given context and, where appropriate, good use of data to support the response</li> <li>includes well-focused analysis with clear, logical chains of reasoning</li> <li>includes supported evaluation throughout the response and in a final conclusion.</li> </ul>                                                                                                                                                                                       | 21 – 25 marks |
| 4                 | <b>Sound, focused analysis and some supported evaluation that:</b> <ul style="list-style-type: none"> <li>is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors</li> <li>includes some good application of relevant economic principles to the given context and, where appropriate, some good use of data to support the response</li> <li>includes some well-focused analysis with clear, logical chains of reasoning</li> <li>includes some reasonable, supported evaluation.</li> </ul>                                                                                                                                                                                                         | 16 – 20 marks |
| 3                 | <b>Some reasonable analysis but generally unsupported evaluation that:</b> <ul style="list-style-type: none"> <li>focuses on issues that are relevant to the question, showing satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present</li> <li>includes reasonable application of relevant economic principles to the given context and, where appropriate, some use of data to support the response</li> <li>includes some reasonable analysis but which might not be adequately developed or becomes confused in places</li> <li>includes fairly superficial evaluation; there is likely to be some attempt to make relevant judgements but these aren't well-supported by arguments and/or data.</li> </ul> | 11 – 15 marks |
| 2                 | <b>A fairly weak response with some understanding that:</b> <ul style="list-style-type: none"> <li>includes some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely</li> <li>includes some limited application of relevant economic principles to the given context and/or data to the question</li> <li>includes some limited analysis but it may lack focus and/or become confused</li> <li>includes some evaluation which is weak and unsupported.</li> </ul>                                                                                                                                                                                                                                                        | 6 – 10 marks  |
| 1                 | <b>A very weak response that:</b> <ul style="list-style-type: none"> <li>includes little relevant knowledge and understanding of economic terminology, concepts and principles</li> <li>includes application to the given context which is, at best, very weak</li> <li>includes attempted analysis which is weak and unsupported.</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                        | 1 – 5 marks   |

18.

**Relevant issues include:**

- definitions/explanations: central bank, currency, exchange rate, value of currency, appreciation
- explaining the difference between a managed float and free float
- explaining why countries may wish to intervene in the currency markets
- explaining the FOREX market and the supply and demand of currency
- explaining the role of reserves of foreign currency, or perhaps gold
- explaining the difference between 'direct' currency manipulation or 'indirect' through influencing the market
- linking currency manipulation to 'fixing', 'pegging' or currency 'ceiling'
- explaining the flow of 'hot money'
- explaining how governments or central banks can prevent the value of a currency rising:
  - by selling the domestic currency and buying foreign currencies, or gold, adding to foreign exchange reserves
  - by reducing interest rates to make the holding of domestic currency less attractive and reducing the flow of hot money
  - by increasing the money supply (as long as this is linked to increased supply of currency on FOREX such as increased import consumption)
  - easing exchange controls and/or encouraging overseas investment
  - the use of sovereign wealth funds to buy overseas assets, eg China investing in US government bonds.

The use of relevant diagrams to support the analysis should be taken into account when assessing the quality of the student's response to the question.



| Level of response | Response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | Max 15 marks  |
|-------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------|
| 3                 | <b>A good response provides an answer that:</b> <ul style="list-style-type: none"> <li>is well organised and develops a selection of the key issues that are relevant to the question</li> <li>shows sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors</li> <li>includes good application of relevant economic principles to the given context and, where appropriate, good use of data to support the response</li> <li>includes well-focused analysis with clear, logical chains of reasoning.</li> </ul>                        | 11 – 15 marks |
| 2                 | <b>A reasonable response provides an answer that:</b> <ul style="list-style-type: none"> <li>focuses on issues that are relevant to the question</li> <li>shows satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present</li> <li>includes reasonable application of relevant economic principles to the given context and, where appropriate, some use of data to support the response</li> <li>includes some reasonable analysis but which might not be adequately developed or becomes confused in places.</li> </ul> | 6 – 10 marks  |
| 1                 | <b>A weak response provides an answer that:</b> <ul style="list-style-type: none"> <li>has identified one or more relevant issues</li> <li>has some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely</li> <li>has very limited application of relevant economic principles to the given context and/or data to the question</li> <li>might have some limited analysis but it may lack focus and/or become confused.</li> </ul>                                                                                                | 1 – 5 marks   |

[15]

**19.****Areas for discussion include:**

- definitions/explanations: policies, trade surplus, economic growth
- explaining the trade surplus in terms of the value of exports and imports
- explaining how a trade surplus could add to aggregate demand (AD)
- linking net trade to injections to the circular flow
- linking net trade to the multiplier effect
- explaining policies which may be used to boost a trade surplus such as:
  - supply-side policies (R+D, education, infrastructure)
  - exchange rate manipulation
  - protectionism
  - expenditure-reducing policies (although this isn't really the emphasis of the context)
  - ending the trade war with Japan
- explaining the drawbacks of each method and limitations such as:
  - supply-side policies (time lags/expense)
  - exchange rate manipulation (misallocating resources)
  - protectionism (retaliation)
  - expenditure-reducing policies (damaging other macroeconomic objectives)
- explaining the effects of external shocks on trade
- explaining how global shocks, such as a pandemic, may lead to unavoidable disruption of trade
- considering the effects of a trade surplus on output, employment and investment
- considering the capital and financial accounts and their potential impacts on the economy
- considering how long-run economic growth can be created by a trade surplus
- considering possible trade-offs with other macroeconomic goals
- considering the possible effects on exchange rates in the long run
- considering the extent to which South Korea can manipulate its trade outcomes in a globalised world.

The use of relevant diagrams to support the analysis should be taken into account when assessing the quality of the student's response to the question.

| Level of response | Response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | Max 25 marks  |
|-------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------|
| 5                 | <b>Sound, focused analysis and well-supported evaluation that:</b> <ul style="list-style-type: none"> <li>is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors</li> <li>includes good application of relevant economic principles to the given context and, where appropriate, good use of data to support the response</li> <li>includes well-focused analysis with clear, logical chains of reasoning</li> <li>includes supported evaluation throughout the response and in a final conclusion.</li> </ul>                                                                                                                                                                                       | 21 – 25 marks |
| 4                 | <b>Sound, focused analysis and some supported evaluation that:</b> <ul style="list-style-type: none"> <li>is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors</li> <li>includes some good application of relevant economic principles to the given context and, where appropriate, some good use of data to support the response</li> <li>includes some well-focused analysis with clear, logical chains of reasoning</li> <li>includes some reasonable, supported evaluation.</li> </ul>                                                                                                                                                                                                         | 16 – 20 marks |
| 3                 | <b>Some reasonable analysis but generally unsupported evaluation that:</b> <ul style="list-style-type: none"> <li>focuses on issues that are relevant to the question, showing satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present</li> <li>includes reasonable application of relevant economic principles to the given context and, where appropriate, some use of data to support the response</li> <li>includes some reasonable analysis but which might not be adequately developed or becomes confused in places</li> <li>includes fairly superficial evaluation; there is likely to be some attempt to make relevant judgements but these aren't well-supported by arguments and/or data.</li> </ul> | 11 – 15 marks |
| 2                 | <b>A fairly weak response with some understanding that:</b> <ul style="list-style-type: none"> <li>includes some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely</li> <li>includes some limited application of relevant economic principles to the given context and/or data to the question</li> <li>includes some limited analysis but it may lack focus and/or become confused</li> <li>includes some evaluation which is weak and unsupported.</li> </ul>                                                                                                                                                                                                                                                        | 6 – 10 marks  |
| 1                 | <b>A very weak response that:</b> <ul style="list-style-type: none"> <li>includes little relevant knowledge and understanding of economic terminology, concepts and principles</li> <li>includes application to the given context which is, at best, very weak</li> <li>includes attempted analysis which is weak and unsupported.</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                        | 1 – 5 marks   |

[25]

20.

C

[1]

| Level of response | Response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                | Max 25 marks |
|-------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------|
| 5                 | <b>Sound, focused analysis and well-supported evaluation that:</b> <ul style="list-style-type: none"> <li>• is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors</li> <li>• includes good application of relevant economic principles and, where appropriate, good use of data to support the response</li> <li>• includes well-focused analysis with clear, logical chains of reasoning</li> <li>• includes supported evaluation throughout the response and in a final conclusion.</li> </ul>                                                                                                                                                                                       | 21–25 marks  |
| 4                 | <b>Sound, focused analysis and some supported evaluation that:</b> <ul style="list-style-type: none"> <li>• is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors</li> <li>• includes good application of relevant economic principles and, where appropriate, some good use of data to support the response</li> <li>• includes some well-focused analysis with clear, logical chains of reasoning</li> <li>• includes some reasonable, supported evaluation.</li> </ul>                                                                                                                                                                                                              | 16–20 marks  |
| 3                 | <b>Some reasonable analysis but generally unsupported evaluation that:</b> <ul style="list-style-type: none"> <li>• focuses on issues that are relevant to the question, showing satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present</li> <li>• includes reasonable application of relevant economic principles and, where appropriate, some use of data to support the response</li> <li>• includes some reasonable analysis but which might not be adequately developed or becomes confused in places</li> <li>• includes fairly superficial evaluation; there is likely to be some attempt to make relevant judgements but these aren't well-supported by arguments and/or data.</li> </ul> | 11–15 marks  |
| 2                 | <b>A fairly weak response with some understanding that:</b> <ul style="list-style-type: none"> <li>• includes some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely</li> <li>• includes some limited application of relevant economic principles and/or data to the question</li> <li>• includes some limited analysis but it may lack focus and/or become confused</li> <li>• includes some evaluation which is weak and unsupported.</li> </ul>                                                                                                                                                                                                                                                        | 6–10 marks   |
| 1                 | <b>A very weak response that:</b> <ul style="list-style-type: none"> <li>• includes little relevant knowledge and understanding of economic terminology, concepts and principles</li> <li>• includes analysis which is, at best, very weak</li> <li>• includes attempted evaluation which is weak and unsupported.</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                           | 1–5 marks    |

**Relevant issues and areas for discussion include:**

- market failure as a justification for government support
- damage to the environment as source of market failure in the commercial aircraft industry, eg greenhouse gas emissions, noise pollution
- the high cost and risk may, without government support, lead to inadequate spending on R&D and capital investment
- to support investment in human capital where the existence of positive externalities may be a source of market failure and, if left to the private sector, may mean spending is too low
- to support growth and employment in the less prosperous regions where market failures may mean that they do not develop sufficiently, eg immobility of labour, inertia, cumulative causation and local multiplier effects
- may help to promote improvements in productivity and competitiveness
- external benefits (spin-offs) for other industries arising from developments in the commercial aircraft manufacturing industry
- supports UK manufacturing helping to achieve a more diversified, balanced economy
- may be needed to match the support provided by other countries
- may be needed in the short run to support the industry when there is a significant economic shock
- impact on employment
- impact on short-run and long-run economic growth
- government support as an injection into the circular flow of income and related multiplier effects
- impact on exports and the balance of payments
- may lead to over-reliance on government support, inhibiting improvements in productivity and efficiency
- may make it difficult for new firms to enter the market
- distorts the pattern of comparative advantage, supporting inefficient industries reducing the gains from trade
- may breach WTO rules and allow other countries to impose tariffs and other trade restrictions in retaliation
- implications for taxation, other categories of public expenditure and the budget balance
- various arguments relating to government failure, eg information failures, administrative costs, political motivations
- a supported recommendation.

The use of relevant diagrams to support analysis should be taken into account when assessing the quality of a candidate's response to the question.

**An answer that does not include any evaluation, either throughout the answer or in a supported recommendation, must not be awarded more than 13 marks.**

[25]

22.

A

[1]

| Level of response | An answer that:                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | Max 10 marks      |
|-------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------|
| <b>3</b>          | <ul style="list-style-type: none"> <li>is well organised and develops one or more of the key issues that are relevant to the question</li> <li>shows sound knowledge and understanding of relevant economic terminology, concepts and principles</li> <li>includes good application of relevant economic principles and/or good use of data to support the response</li> <li>includes well-focused analysis with a clear, logical chain of reasoning</li> <li>may include a relevant diagram to support their explanation.</li> </ul>                        | <b>8–10 marks</b> |
| <b>2</b>          | <ul style="list-style-type: none"> <li>includes one or more issues that are relevant to the question</li> <li>shows reasonable knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present</li> <li>includes reasonable application of relevant economic principles and/or data to the question</li> <li>includes some reasonable analysis but it might not be adequately developed and may be confused in places</li> <li>may include a relevant diagram to support their explanation.</li> </ul>       | <b>4–7 marks</b>  |
| <b>1</b>          | <ul style="list-style-type: none"> <li>is very brief and/or lacks coherence</li> <li>shows some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely</li> <li>demonstrates very limited ability to apply relevant economic principles and/or data to the question</li> <li>may include some very limited analysis but the analysis lacks focus and/or becomes confused</li> <li>may include a diagram but the diagram is likely to be inaccurate in some respects or is inappropriate.</li> </ul> | <b>1–3 marks</b>  |

**Relevant issues include:**

- meaning of global slowdown/employment/recession
- higher unemployment abroad
- lower incomes/falling demand/falling investment abroad
- fall in demand for UK exports – consumer goods/capital goods/raw materials
- fall in AD/negative multiplier/accelerator effects
- confidence/gloomy expectations
- firms unwilling to invest/fewer jobs created/falling employment
- short-term/long-term effects.

[10]

**24.****Relevant issues include:**

- definitions/explanations: trade, exports, value of exports
- explaining the value of exports in terms of the quantity/volume and price of exports
- explaining how changes in the pattern of trade can affect trade values
- the significance of trade and exports to the UK economy
- using relevant examples to illustrate the changes in the value of exports
- explaining comparative advantage and possibly giving a numerical example of comparative advantage
- explaining possible reasons for changes in the value of exports from the UK to the rest of the world such as:
  - changes in comparative advantage
  - changes in protectionist/free trade policies in other countries
  - leaving or changing membership of trading blocs such as the EU
  - consideration of trade diversion/trade creation arguments
  - exchange rate changes
  - changing quality/reputation
  - de-industrialisation
  - economic growth (or decline) in other nations
  - external shocks
  - innovation and invention (both product and process)
  - technological improvements that have led to reductions in cost of transport and communications.

The use of relevant diagrams to support the analysis should be taken into account when assessing the quality of the student's response to the question.



| Level of response | Response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | Max 15 marks |
|-------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------|
| 3                 | <b>A good response provides an answer that:</b> <ul style="list-style-type: none"> <li>is well organised and develops a selection of the key issues that are relevant to the question</li> <li>shows sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors</li> <li>includes good application of relevant economic principles to the given context and, where appropriate, good use of data to support the response</li> <li>includes well-focused analysis with clear, logical chains of reasoning.</li> </ul>                        | 11–15 marks  |
| 2                 | <b>A reasonable response provides an answer that:</b> <ul style="list-style-type: none"> <li>focuses on issues that are relevant to the question</li> <li>shows satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present</li> <li>includes reasonable application of relevant economic principles to the given context and, where appropriate, some use of data to support the response</li> <li>includes some reasonable analysis but which might not be adequately developed or becomes confused in places.</li> </ul> | 6–10 marks   |
| 1                 | <b>A weak response provides an answer that:</b> <ul style="list-style-type: none"> <li>has identified one or more relevant issues</li> <li>has some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely</li> <li>has very limited application of relevant economic principles to the given context and/or data to the question</li> <li>might have some limited analysis but it may lack focus and/or become confused.</li> </ul>                                                                                                | 1–5 marks    |

[15]

25.

A

[1]

26.

**Relevant issues include:**

- definitions/explanations: output, output gap, positive output gap, economic cycle
- linking positive output gaps to booms
- reasons which may have caused an economy to end up in a positive output gap
- linking positive output gaps to real output growing faster than productive potential
- if the output gap is persistent it will eventually lead the economy to overheat

- explaining the problems which may be caused by positive output gaps such as:
  - demand-pull inflation as too much money is chasing too few goods
  - cost-push inflation due to labour shortages
  - wage-price spirals
  - rising imports as consumption is rising and possible leakages rise
  - falling exports if inflationary pressure occurs
  - an increase in the current account deficit
  - unsustainable asset price rises
  - potential effects on the exchange rate
- linking the 'problems' of the economy having a large positive output gap to the causes such as low productivity growth.

The use of relevant diagrams to support the analysis should be taken into account when assessing the quality of the student's response to the question.

| Level of response | Response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | Max 15 marks |
|-------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------|
| 3                 | <b>A good response provides an answer that:</b> <ul style="list-style-type: none"> <li>• is well organised and develops a selection of the key issues that are relevant to the question</li> <li>• shows sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors</li> <li>• includes good application of relevant economic principles to the given context and, where appropriate, good use of data to support the response</li> <li>• includes well-focused analysis with clear, logical chains of reasoning.</li> </ul>                        | 11–15 marks  |
| 2                 | <b>A reasonable response provides an answer that:</b> <ul style="list-style-type: none"> <li>• focuses on issues that are relevant to the question</li> <li>• shows satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present</li> <li>• includes reasonable application of relevant economic principles to the given context and, where appropriate, some use of data to support the response</li> <li>• includes some reasonable analysis but which might not be adequately developed or becomes confused in places.</li> </ul> | 6–10 marks   |
| 1                 | <b>A weak response provides an answer that:</b> <ul style="list-style-type: none"> <li>• has identified one or more relevant issues</li> <li>• has some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely</li> <li>• has very limited application of relevant economic principles to the given context and/or data to the question</li> <li>• might have some limited analysis but it may lack focus and/or become confused.</li> </ul>                                                                                                | 1–5 marks    |

[15]

**27.****Areas for discussion include:**

- definitions/explanations: exchange rates, floating exchange rate, fixed exchange rate, exchange rate systems
- explaining the possible ways in which 'better' can be assessed by linking this to the macroeconomic objectives
- how floating exchange rates work and the factors that may cause supply and demand of currency to change
- linking floating exchange rates to FOREX
- explaining the possible advantages of being on a free-floating exchange rate system (or the disadvantages of being in a fixed system) in terms of:
  - automatic correction/stabilisation
  - allowing monetary policy freedom, for example interest rate manipulation
  - reduced needs for currency reserves and government intervention
  - speculation may be reduced
  - depreciation may improve injections leading to benefits of growth and employment
- explaining the possible advantages of being in a fixed exchange rate system (or the disadvantages of being in a floating system) in terms of:
  - avoiding sudden fluctuations which may alter costs and imports/exports
  - encouraging confidence and investment
  - encouraging trade
  - possibly avoiding transaction costs if fixed in a monetary union
- the nature of a fixed system, whether it is in a monetary union or not
- considering real-life examples and the fact that very few nations actually work on a truly fixed system
- whether currencies do actually correct or stabilise trade
- the possible trade-offs that can occur, for example a depreciation may improve short-run growth at the expense of inflation
- that speculation is more prevalent in a floating rate system although it may become more serious in a fixed rate system when it becomes obvious that the currency is over or undervalued (the one-way option problem).
- considering managed floats rather than truly 'fixed' systems
- considering real-life examples such as: the Bretton Woods system, the ERM, Danish Krona fixed to the euro and attempts by some other countries, particularly in Africa, to fix their currencies to the US\$ or the euro.

The use of relevant diagrams to support the analysis should be taken into account when assessing the quality of the student's response to the question.

| Level of response | Response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | Max 25 marks |
|-------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------|
| 5                 | <b>Sound, focused analysis and well-supported evaluation that:</b> <ul style="list-style-type: none"> <li>is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors</li> <li>includes good application of relevant economic principles to the given context and, where appropriate, good use of data to support the response</li> <li>includes well-focused analysis with clear, logical chains of reasoning</li> <li>includes supported evaluation throughout the response and in a final conclusion.</li> </ul>                                                                                                                                                                                       | 21–25 marks  |
| 4                 | <b>Sound, focused analysis and some supported evaluation that:</b> <ul style="list-style-type: none"> <li>is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors</li> <li>includes some good application of relevant economic principles to the given context and, where appropriate, some good use of data to support the response</li> <li>includes some well-focused analysis with clear, logical chains of reasoning</li> <li>includes some reasonable, supported evaluation.</li> </ul>                                                                                                                                                                                                         | 16–20 marks  |
| 3                 | <b>Some reasonable analysis but generally unsupported evaluation that:</b> <ul style="list-style-type: none"> <li>focuses on issues that are relevant to the question, showing satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present</li> <li>includes reasonable application of relevant economic principles to the given context and, where appropriate, some use of data to support the response</li> <li>includes some reasonable analysis but which might not be adequately developed or becomes confused in places</li> <li>includes fairly superficial evaluation; there is likely to be some attempt to make relevant judgments but these are not well-supported by arguments and/or data.</li> </ul> | 11–15 marks  |
| 2                 | <b>A fairly weak response with some understanding that:</b> <ul style="list-style-type: none"> <li>includes some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely</li> <li>includes some limited application of relevant economic principles to the given context and/or data to the question</li> <li>includes some limited analysis but it may lack focus and/or become confused</li> <li>includes some evaluation which is weak and unsupported.</li> </ul>                                                                                                                                                                                                                                                        | 6–10 marks   |
| 1                 | <b>A very weak response that:</b> <ul style="list-style-type: none"> <li>includes little relevant knowledge and understanding of economic terminology, concepts and principles</li> <li>includes application to the given context which is, at best, very weak</li> <li>includes attempted analysis which is weak and unsupported.</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                        | 1–5 marks    |

28.

**Relevant issues include:**

- definitions/explanations: expenditure-switching policies, trade, trade deficit, balance of trade
- explaining the difference between expenditure-switching policies and expenditure-reducing policies
- how expenditure-switching policies cause a shift in consumption away from imports and towards domestic consumption and exports
- reasons for wishing to reduce a trade deficit
- explaining expenditure-switching policies linked to protectionism in terms of:
  - tariffs
  - quotas
  - non-tariff barriers
  - export subsidies
- explaining expenditure-switching policies in terms of exchange rate manipulation in terms of:
  - direct government intervention in terms of buying and selling currency
  - indirect intervention in terms of manipulation of interest rates
- explaining expenditure-switching policies in terms of supply-side policies and making domestic goods and services more competitive
- the relative effects on the volume and value of imports and exports
- the impact on net trade.

| Level of response | Response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | Max 15 marks |
|-------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------|
| 3                 | <b>A good response provides an answer that:</b> <ul style="list-style-type: none"> <li>• is well organised and develops a selection of the key issues that are relevant to the question</li> <li>• shows sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors</li> <li>• includes good application of relevant economic principles to the given context and, where appropriate, good use of data to support the response</li> <li>• includes well-focused analysis with clear, logical chains of reasoning.</li> </ul>                        | 11–15 marks  |
| 2                 | <b>A reasonable response provides an answer that:</b> <ul style="list-style-type: none"> <li>• focuses on issues that are relevant to the question</li> <li>• shows satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present</li> <li>• includes reasonable application of relevant economic principles to the given context and, where appropriate, some use of data to support the response</li> <li>• includes some reasonable analysis but which might not be adequately developed or becomes confused in places.</li> </ul> | 6–10 marks   |
| 1                 | <b>A weak response provides an answer that:</b> <ul style="list-style-type: none"> <li>• has identified one or more relevant issues</li> <li>• has some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely</li> <li>• has very limited application of relevant economic principles to the given context and/or data to the question</li> <li>• might have some limited analysis but it may lack focus and/or become confused.</li> </ul>                                                                                                | 1–5 marks    |

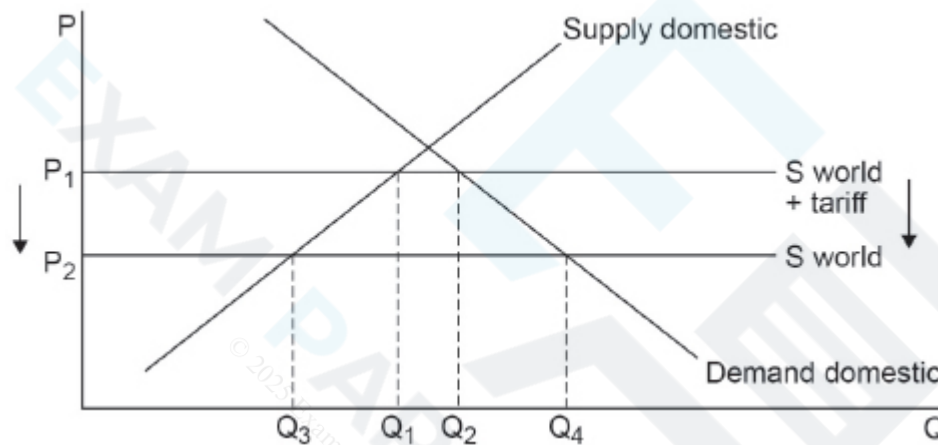
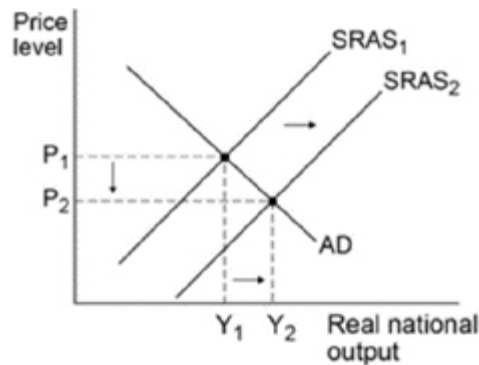
[15]

| Level of response | Response:                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | Max 9 marks      |
|-------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------|
| <b>3</b>          | <ul style="list-style-type: none"> <li>• is well organised and develops one or more of the key issues that are relevant to the question</li> <li>• shows sound knowledge and understanding of relevant economic terminology, concepts and principles</li> <li>• includes good application of relevant economic principles and/or good use of data to support the response</li> <li>• includes well-focused analysis with a clear, logical chain of reasoning</li> <li>• includes a relevant diagram that will, at the top of this level, be accurate and used appropriately.</li> </ul> | <b>7–9 marks</b> |
| <b>2</b>          | <ul style="list-style-type: none"> <li>• includes one or more issues that are relevant to the question</li> <li>• shows reasonable knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present</li> <li>• includes reasonable application of relevant economic principles and/or data to the question</li> <li>• includes some reasonable analysis but it might not be adequately developed and may be confused in places</li> <li>• may include a relevant diagram.</li> </ul>                                                     | <b>4–6 marks</b> |
| <b>1</b>          | <ul style="list-style-type: none"> <li>• is very brief and/or lacks coherence</li> <li>• shows some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely</li> <li>• demonstrates very limited ability to apply relevant economic principles and/or data to the question</li> <li>• may include some very limited analysis but the analysis lacks focus and/or becomes confused</li> <li>• may include a relevant diagram but the diagram is not used and/or is inaccurate in some respects.</li> </ul>                       | <b>1–3 marks</b> |



An AD/AS diagram showing a rightward in SRAS is expected, however a micro diagram illustrating the effect of removing a tariff and the resultant effect on price is equally acceptable.

**Expected diagrams are:**



**Relevant issues include:**

- definitions/explanations: tariff, inflation
- linking the reduction in tariffs to falling import prices
- the concept of the basket of goods and its 'weighted' components
- linking falling import prices to a fall in the general price level
- linking the fall in import prices to issues such as being able to obtain raw materials cheaper
- linking falling import prices to costs and the determinants of SRAS
- contributing to a reduction in cost-push inflation
- the impact of reducing tariffs on competition and the prices charged by domestic firms
- linking falling prices to falling inflation or disinflation
- linking falling import prices to rising demand for imports, reducing demand-pull inflationary pressure.

[9]

**30.****Areas for discussion include:**

- definitions/explanations: foreign direct investment (FDI), living standards
- explaining how living standards can be measured in terms of monetary measures such as GDP per capita
- explaining how living standards can be measured in terms of qualitative factors such as education, health, inequality, the environment, human development and sustainability
- alternative measures of living standards such as the Human Development Index (HDI)
- explaining the benefits of FDI on living standards in terms of:
  - employment
  - incomes and consumption possibilities
  - economic growth and GDP per capita
  - multiplier/accelerator arguments
  - human development/skills progression
  - potential improvements in infrastructure created by MNCs
  - possible health implications of increased formal, regular employment
  - generating more government tax revenue which may be spent on merit/public goods without creating debt
  - crowding in arguments
- explaining the drawbacks of FDI on living standards in terms of:
  - exploitation of workers by MNCs
  - damages to the environment caused by MNCs
  - possible inflationary pressures causing the cost of living to rise
  - 'footloose' industries causing instability in employment for example
  - repatriation of profits acting as a leakage from the circular flow
- considering that governments may not benefit from rising tax revenues as they may have been forced to offer tax breaks
- how global shocks, such as the pandemic, may lead to changes in investment beyond the control of the domestic government
- the alternatives to attracting FDI to improve living standards such as aid and the possible problems of tied aid
- other possible alternatives such as government spending and the potential problems of rising debt
- other possible alternatives such as the promotion of free trade or protectionism and the potential problems of each method
- whether the government should intervene at all or if the free market would provide better solutions
- the possible inequalities caused by FDI and the possible regional differences
- issues such as corruption affecting the distribution of the benefits of FDI.

The use of relevant diagrams to support the analysis should be taken into account when assessing the quality of the student's response to the question.

| Level of response | Response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | Max 25 marks |
|-------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------|
| 5                 | <b>Sound, focused analysis and well-supported evaluation that:</b> <ul style="list-style-type: none"> <li>is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors</li> <li>includes good application of relevant economic principles to the given context and, where appropriate, good use of data to support the response</li> <li>includes well-focused analysis with clear, logical chains of reasoning</li> <li>includes supported evaluation throughout the response and in a final conclusion.</li> </ul>                                                                                                                                                                                       | 21–25 marks  |
| 4                 | <b>Sound, focused analysis and some supported evaluation that:</b> <ul style="list-style-type: none"> <li>is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors</li> <li>includes some good application of relevant economic principles to the given context and, where appropriate, some good use of data to support the response</li> <li>includes some well-focused analysis with clear, logical chains of reasoning</li> <li>includes some reasonable, supported evaluation.</li> </ul>                                                                                                                                                                                                         | 16–20 marks  |
| 3                 | <b>Some reasonable analysis but generally unsupported evaluation that:</b> <ul style="list-style-type: none"> <li>focuses on issues that are relevant to the question, showing satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present</li> <li>includes reasonable application of relevant economic principles to the given context and, where appropriate, some use of data to support the response</li> <li>includes some reasonable analysis but which might not be adequately developed or becomes confused in places</li> <li>includes fairly superficial evaluation; there is likely to be some attempt to make relevant judgments but these are not well-supported by arguments and/or data.</li> </ul> | 11–15 marks  |
| 2                 | <b>A fairly weak response with some understanding that:</b> <ul style="list-style-type: none"> <li>includes some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely</li> <li>includes some limited application of relevant economic principles to the given context and/or data to the question</li> <li>includes some limited analysis but it may lack focus and/or become confused</li> <li>includes some evaluation which is weak and unsupported.</li> </ul>                                                                                                                                                                                                                                                        | 6–10 marks   |
| 1                 | <b>A very weak response that:</b> <ul style="list-style-type: none"> <li>includes little relevant knowledge and understanding of economic terminology, concepts and principles</li> <li>includes application to the given context which is, at best, very weak</li> <li>includes attempted analysis which is weak and unsupported.</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                        | 1–5 marks    |